



INDIAN INSTITUTE OF MANAGEMENT RANCHI

MBA

2026-27

Core course

COURSE NAME: Managerial Accounting

TERM: II

CREDITS: 3

FACULTY DETAILS

Name	Faculty Office Address	Email
Prof. Jagan Kumar Sur	Sidhu-Kahnu Block, Sixth floor - 606	jagan.kumar@iimranchi.ac.in
Prof. Senthil Kumar A	Sidhu-Kahnu Block, Seventh floor - 711	senthil.kumar@iimranchi.ac.in
Prof. Shumaila Fatima	Sidhu-Kahnu Block, Seventh floor – 707	shumaila.fatima@iimranchi.ac.in
Prof. Saravanan	Sidhu-Kahnu Block, Third floor- 302	saravanan.r@iimranchi.ac.in
Prof. Manish Bansal	Birsa Munda Block, Third floor- 306	manish.bansal@iimranchi.ac.in
Prof. Divyam Jain	Birsa Munda Block, Seventh floor- 709	divyam.jain@iimranchi.ac.in

CONSULTATION TIME FOR STUDENTS: Weekdays (Monday - Friday) between 2-4 pm.

COURSE DESCRIPTION

Managerial accounting is an integral part of the management process, which deals with identifying, measuring, analyzing, interpreting, and communicating information in pursuit of an organization's goals. Managerial accountants are important strategic partners in an organization's management team. This course will discuss the various cost management techniques that a manufacturing/service organization practices on regular basis during its operation. The focus of the course will be on management decision making process based on such cost management techniques. The course will be taught in twenty sessions of 1.5 hours each.

COURSE OBJECTIVE

Managerial Accounting focuses on analyzing cost information for planning, control and decision making of the organization. The objective of this course is to enable students use cost information as a managerial tool for better and informed decision making in a dynamic business environment by (a) developing an understanding for importance of information for decision making and planning (b) understanding how it assists managers in directing and controlling operational activities and (c) measuring performance of activities, subunits, managers and others in the organization.

CLO – ASSESSMENT TOOL MAPPING:

Course Learning Outcome	Program Level Traits	Assessment Tool(s)
CLO 1: Develop competence in various cost management techniques that can be applied in manufacturing as well as service industries	Students should be able to diagnose complex business problems	Quiz (one each before and after the mid-term)
CLO 2: Develop an understanding of the theories of cost and how to control it in practical scenarios	Students should be able to identify the interconnectedness across business functions	End-term examination, WAI project
CLO 3: Orient the participants to look at different ways of making decisions based on an effective cost management system	Students should be able to apply appropriate methodologies to solve different business problems	End-term examination, WAI project
CLO 4: Develop a common approach to explore or control different behavior of costs	Students should be able to propose solutions to problems across different	End-term examination, WAI project

PRESCRIBED TEXTBOOK

Managerial Accounting: Creating Value in a Dynamic Business Environment – Ronald W. Hilton and David E. Platt, Latest Edition, **McGraw Hill Connect**.

EVALUATION SCHEME:

Evaluation Components	Details	Weightage (%)
WAI	Working with AI: Individual project (details given separately)	25%
End-Term Exam	120 minutes, closed-book written exam	40%
Announced Quizzes	There will be two quizzes with 10 % weightage each.	20%
Class Participation	In-class participation at individual level (refer rubrics)	5%
Attendance	As per the prevailing attendance policy	10%

Class Participation Rubrics

Performance Elements & Levels	Inadequate (2 points)	Developing (4 points)	Accomplished (6 points)	Above Ordinary (8 points)	Extraordinary (10 points)
Engagement & Active Participation	The student never participates in class discussions and fails to respond to direct questions.	Few contributions to class discussions; seldom volunteers but responds to direct questions.	Proactively contributes to class discussion; asks questions and responds to direct questions.	Regularly contributes to class discussion.	Proactively and regularly contributes to class discussion; initiates discussion on issues related to class topic.
Listening skills	Does not listen when others talk; interrupts or makes inappropriate comments.	Does not listen carefully; comments are often nonresponsive to discussion.	Listens and appropriately responds to the contributions of others.	Listens without interrupting.	Listens without interrupting and incorporates and expands on the comments of other students.
Relevance of contribution	Contributions are off the topic or	Contributions are sometimes off topic	Contributions are always relevant.	Contributions are relevant.	Contributions are relevant and

o topic under discussion	distract from discussions.	or distract from the discussion			promote a deeper analysis of the topic.
Preparation	Student is not adequately prepared; does not seem to have read the assigned material before class.	Student has read the material but not closely or has read only some of the material before class.	Student has read and thought about the material before class.	Student is consistently well prepared.	Student is consistently well prepared; sometimes adds relevant information beyond the assigned reading.

ACADEMIC MISCONDUCT:

- It may be noted that any kind of copying or plagiarism by you and/or malpractice in examinations will be subject to strict disciplinary action under IIM Ranchi rules. If you are found guilty in any such case(s), it will be recorded in your file in addition to disciplinary actions.
- The reports submitted by you such as Term Papers, Case Study Reports, Project Reports or any other report given during the course will go through the anti-plagiarism software. In all cases where the software has reported more than 20% of plagiarism by you or your group, there will be the automatic conversion of the grade given in that component into "F".
- The faculty may even choose to report the matter to the APC through APO which will temporarily convert the course grade into "F" or an "T", issue a show cause to the student (s) and based upon the response of the student(s) assign any punishment or its combination from the options below.
 - a) "F" grade in the course concerned
 - b) Scaling down grades obtained in the specific subject
 - c) Repeating the course
 - d) Suspension, withdrawal or made ineligible for scholarships
 - e) Suspension for a specified period
 - f) Withdrawal of placement services
 - g) Expulsion from the Institute

WAI (Working with AI) details:

AI-Driven Budget Forecasting for Small Businesses

Project Overview

You have to design and implement an AI-enhanced budgeting model that forecasts sales, expenses, and profits for a small business of your choice. Each student must:

1. Select a small business (real or hypothetical) — e.g., bakery, cafe, clothing store, or digital startup.
2. Collect or simulate monthly data (sales, variable costs, fixed costs) for at least 12 months.
3. Use AI/predictive tools to forecast next year's sales, expenses, and profit.
4. Compare AI-based forecasts with traditional management accounting projections (covered in class).
5. Present findings in a professional report or dashboard.

Project Components

Section	Description	Weightage
1. Business Overview	Brief background of the business, key products/services, cost structure (fixed & variable costs).	10%
2. Data Preparation	Compile monthly data for 12 months (revenue, direct materials, labour, overheads, etc.)	15%
3. Traditional Budget Forecasting	Use traditional methods (trend analysis, CVP).	20%
4. AI-Based Forecasting	Use AI/predictive tools to forecast next 12-month sales & expenses.	25%
5. Comparative Analysis	Compare insights and accuracy between traditional and AI forecasts.	15%
6. Managerial Insights & Recommendations	Discuss how AI improves decision-making and dynamic budgeting.	10%
7. Reflection	Reflect on challenges and learnings while using AI tools.	5%

Expected Deliverables

A. Report (3-4 pages maximum)

- Brief of the business chosen.

- Generation of data (tables and charts)
- Traditional Budget Forecasting
- AI-generated forecast outputs
- Graphs comparing predicted vs actual trends
- Managerial insights and conclusions
- Reflection

B. Dashboard (optional)

- Create a Dashboard showing dynamic forecasts.

C. Please provide the ChatGPT/AI tool commands used in the appendix.

Submission Guidelines

- Format: Word or PDF
- Length-3-4 pages (excluding appendix)
- Deadline: 20th November 2026
- File Name: AI_BudgetForecasting_<Name>.docx

Detailed session plan¹:

Sessions	Business Problem	Topics and discussion questions	Readings	Pre-reading
Session 1	How can	Topic: Introduction to Cost	Chapter 1	Brief

¹ Classroom desk slides will be made available after every two sessions. For example, the slides for sessions 1 and 2 will be provided after session 2, and so on.

	management accounting adapt to the rapid technological changes in a dynamic business environment?	and Management Accounting; The Changing Role of Managerial Accounting In a Dynamic Business Environment Discussion Questions: How has the role of managerial accounting evolved over the years? What are the key differences between financial and management accounting?		Introduction to Cost Accounting: by William J. Bruns, Product No: 192068- PDFENG
Session 2	How do basic cost management concepts affect profitability in a manufacturing business?	Topic: Basic Cost Management Concepts Discussion Questions: How do fixed, variable, and mixed costs impact financial planning and analysis? What is the relationship between cost management and competitive advantage?	Chapter 2	
Session 3	What are the challenges in allocating costs accurately in a batch production environment?	Topic: Product Costing and Cost Accumulation in Batch Production Environment Discussion Questions: How does product costing differ in a batch production	Chapter 3	

		environment compared to continuous production? What are the key steps involved in cost accumulation		
--	--	--	--	--

		for batch production?		
Session 4	What are the advantages and disadvantages of using hybrid product-costing systems?	Topic: Process Costing and Hybrid Product-Costing Systems Discussion Questions: What are hybrid productcosting systems, and when should they be used? How does process costing help businesses in industries with continuous production processes?	Chapter 4	Drury, C., & Drury, C. (1992). Process costing. Management and Cost Accounting, 131-160.
Session 5	How should businesses allocate support activity costs to ensure accurate product pricing?	Topic: Allocation of Support Activity Costs Discussion Questions: What are the different methods of allocating support activity costs? What challenges do businesses face in allocating costs for support activities?	Chapter 17	Colorscope, Inc., By: V.G. Narayanan; Joseph Cha, Product Number: 197 040-PDF-ENG
Session 6	How should joint product costs be allocated to ensure fair profitability for each product?	Topic: Joint Product Cost Allocation Discussion Questions: What methods are available for allocating joint product costs, and how do they differ? What are the challenges faced by businesses in allocating joint product costs?	Chapter 17	
Session 7	How can businesses implement activitybased costing to improve cost management	Topic: Activity Based Costing (ABC) and Management Discussion Questions:	Chapter 5	Activity Accounting- Another Way

	and resource allocation?	How does activity-based costing differ from traditional costing systems? How can businesses manage the costs associated with implementing ABC systems?		to Measure Costs, By William J. Bruns, Product Number: 193044-PDFENG
Session 8	How can ABC be applied to service industries to identify and eliminate unprofitable activities?	Topic: Activity Based Costing (ABC) in Service Industry; Customer Profitability Analysis; Whale Curve Discussion Questions: What is the whale curve, and how does it relate to customer profitability analysis? How can businesses use ABC to improve their understanding of customer profitability?	Chapter 5	Wilkerson Co., By: Robert S. Kaplan, Product Number: 101092-PDFENG
Session 9	What methods can businesses use to conduct cost-volume-profit analysis for better decision-making?	Topic: Cost-Volume-Profit Analysis – Methods and Techniques Discussion Questions: How can businesses use cost-volume-profit analysis to predict financial outcomes? What are the limitations of cost-volume-profit analysis in a dynamic business environment?	Chapter 7	
Session 10	How can cost-volume-profit analysis be used to assess the profitability of new business ventures?	Topic: Cost-Volume-Profit Analysis – Application for Decision-Making Discussion Questions:	Chapter 7	
		How does cost-volume-profit analysis assist in making		

		informed business decisions? How can sensitivity analysis enhance the decision-making process in cost-volume-profit analysis?		
Session 11	How do absorption costing and variable costing impact the financial statements of a company?	Topic: Absorption Costing and Variable Costing Discussion Questions: What is the difference between absorption costing and variable costing? What are the advantages and disadvantages of absorption costing for internal reporting?	Chapter 8	
Session 12	How can businesses develop an effective master budget to guide financial planning and analysis?	Topic: Financial Planning & Analysis and Master Budget; Flexible Budgeting Discussion Questions: What are the key components of a master budget, and how are they developed? What are the challenges in implementing and managing flexible budgets?	Chapter 9	
Session 13	How can businesses effectively use standard costing to control direct costs?	Topic: Standard Costing & Analysis of Direct Cost Discussion Questions: How does standard costing help businesses in controlling direct costs? What are the benefits and limitations of using standard costing for cost control?	Chapter 10	Danshui Plant No. 2, By: William J. Bruns Jr.; Julie H. Hertenstein; Kelvin Liu, Product Number: 913525-PDFENG

Session 14	How can businesses effectively manage and reduce overhead costs to improve profitability?	Topic: Analysis of Overhead Cost Discussion Questions: What methods are available for analyzing overhead costs in a business? How does overhead cost analysis impact strategic decision-making in organizations?	Chapter 11	Kalamazoo Zoo, By: Linda Bilmes, KS1126PDF-ENG,
Session 15	How can responsibility accounting improve operational performance in decentralized organizations?	Topic: Responsibility Accounting, Operational Performance Measures, and the Balanced Scorecard Discussion Questions: How can operational performance measures be integrated into a balanced scorecard approach? What are the challenges in implementing responsibility accounting systems in large organizations?	Chapter 12	Balanced Scorecard, Competitive Strategy, and Performance, By Eric M. Olson and Stanley F. Slater, Product Number: BH075-PDF-ENG
Session 16	How can transfer pricing be optimized to promote fair performance evaluation in investment centers?	Topic: Investment Centers and Transfer Pricing Discussion Questions: What is the role of transfer pricing in evaluating the performance of investment centers? What are the challenges and opportunities of implementing transfer pricing in multinational organizations?	Chapter 13	

Session 17	What are the key challenges in identifying	Topic: Relevant Costing and Decision Making; Relevant Information; Identifying	Chapter 14	Fly Ash Brick Project:
------------	--	--	------------	------------------------

	relevant costs and benefits for decision-making purposes?	Relevant Cost and Benefits; Analysis of Special Decisions Discussion Questions: How can businesses identify relevant costs and benefits for specific decision-making scenarios? What are the challenges in using relevant costing for special decisions?		Feasibility Study Using CVP Analysis, by S.K. Mitra and Hajela Shubhra, Product Number: W13543PDF-ENG
Session 18	What role does relevant costing play in evaluating the profitability of one-time special orders?	Topic: Relevant Costing and Decision Making Discussion Questions: How does relevant costing differ from traditional costing in decision-making? How can businesses effectively apply relevant costing to outsourcing decisions?	Chapter 14	
Session 19	What strategies can be employed to reduce costs to meet the target cost without compromising product quality or customer satisfaction?	Topic: Target Costing Discussion Questions: What is target costing, and how does it differ from traditional cost-plus pricing methods? What are the potential risks and challenges involved in implementing target costing in a highly competitive market?	Chapter 15	

Session 20	How can businesses use cost analysis to make more accurate and profitable pricing decisions in a competitive market?	Topic: Cost Analysis for Pricing Decisions Discussion Questions:	Chapter 15	Lucas, M., & Rafferty, J. (2008). Cost analysis for pricing: Exploring the gap between
		How does cost analysis contribute to more effective pricing strategies in businesses? How can companies use cost analysis to assess the profitability of different pricing strategies, such as penetration pricing or premium pricing?		theory and practice. The British Accounting Review, 40(2), 148-160.

Shivaila Patil →

R. Saravanan

(Prof. Senthil Kumar A.)

(Prof. Divyansu Jain).

JK

- (Prof. Jagan Kumar Sur)

Prof. Bansal (Prof. Manish Bansal)

Anupam Kr. (Prof. Deep K. Kumar)